

JAIBB

Hand Notes

On

Organization and Management (OM)

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Module A: Fundamentals of Organizational Behavior and Environment

1. What is Quality of Work Life (QWL)? 96(2.a)

Quality of Work Life (QWL):

Quality of Work Life (QWL) refers to the overall favorable and unfavorable conditions of the work environment that affect the well-being of employees. It encompasses factors like job satisfaction, work-life balance, and the emotional and physical work environment.

Key Aspects of QWL:

- **Security and Safety:** Ensuring the workplace is safe and free from harm.
- **Participation:** Involving employees in decision-making processes.
- **Opportunities for Growth:** Providing chances to develop skills and advance in their careers.
- **Fair Compensation:** Offering fair pay and benefits.
- **Work Environment:** Creating a supportive, stress-free environment.

2. Briefly explain the problems in implementing Quality of Work Life (QWL) program in banks of Bangladesh. 97(2.b)

Problems in Implementing Quality of Work Life (QWL) Program in Banks of Bangladesh

1. **Limited Awareness:** Many banks in Bangladesh lack awareness about the importance of QWL programs. Managers may not fully understand how improving employee well-being can boost productivity, leading to reluctance in implementing such programs.
2. **Resistance to Change:** Employees and management may resist changes to traditional working practices. Shifting from rigid, hierarchical structures to more employee-centered environments can face resistance from those accustomed to the old system.
3. **Resource Constraints:** Banks may face financial and resource limitations that hinder the implementation of comprehensive QWL programs, such as investing in workplace improvements, employee development, or better compensation schemes.
4. **Lack of Employee Participation:** The banking sector often has limited channels for employee participation in decision-making. Without proper involvement, employees may feel disengaged, affecting the effectiveness of QWL programs.

5. **High Work Pressure:** The fast-paced and demanding nature of work in banks leads to high stress levels among employees. The pressure to meet targets and deadlines may hinder efforts to improve work-life balance and job satisfaction.
6. **Cultural and Organizational Challenges:** In Bangladesh, some banks may have a top-down management style, limiting open communication and making it difficult to implement QWL practices effectively. Cultural factors such as respect for authority can prevent honest feedback and hinder improvements in working conditions.

3. How does the equitable reward system improve Quality of Work Life (QWL) in an organization? 97(2.c)

Or, What is Quality of Work Life (QWL)? Discuss 04 (four) strategies of improving QWL in an organization. 98(8.c)

How Equitable Reward System Improves Quality of Work Life (QWL) in an Organization:

1. **Fair Compensation:** An equitable reward system ensures that employees are fairly compensated for their skills, experience, and performance. This leads to higher job satisfaction, as employees feel their efforts are being valued and rewarded appropriately.
2. **Increased Motivation:** When employees perceive that rewards (such as pay, benefits, and bonuses) are distributed fairly, it increases their motivation to perform well. This fosters a sense of equality and encourages employees to invest more in their work.
3. **Reduced Employee Turnover:** A fair reward system helps retain talent by ensuring employees are not dissatisfied with their compensation. This reduces turnover rates, as employees feel secure and valued in their roles, which contributes to a more stable and productive work environment.
4. **Enhanced Job Satisfaction:** When employees feel they are rewarded equitably, their overall job satisfaction improves. This directly impacts their engagement and commitment to the organization, leading to a positive work culture and higher morale.
5. **Promotes a Positive Work Environment:** Fair rewards create a sense of justice and fairness in the workplace. This fosters trust between employees and management, promoting collaboration and reducing conflict, ultimately improving the overall Quality of Work Life (QWL).
6. **Attracts Talent:** An equitable reward system makes the organization more attractive to potential employees. Talented individuals are more likely to join and stay in organizations that offer fair and competitive compensation packages, improving the organization's ability to attract and retain skilled workers.

4. Identify the key issues regarding the Quality of Work Life in a financial institution. 96(2.b)

Key Issues Regarding the Quality of Work Life in a Financial Institution:

1. **Workplace Stress:** Financial institutions often involve high-pressure environments, leading to stress among employees. Excessive workloads, tight deadlines, and constant decision-making can affect the mental well-being of employees.
2. **Job Security:** Job stability is a concern in the financial sector due to economic fluctuations, mergers, and restructuring. Insecure employment leads to dissatisfaction and affects the overall QWL.
3. **Inadequate Compensation:** Compensation that is not competitive or fair can lead to dissatisfaction and low morale. Employees may feel undervalued, impacting their engagement and performance.
4. **Lack of Career Growth Opportunities:** Financial institutions may have limited career advancement opportunities, leading to frustration and a lack of motivation among employees. Career growth is essential for maintaining a positive QWL.
5. **Work-Life Balance:** Long working hours and high job demands in financial institutions can negatively affect employees' personal lives. A poor work-life balance leads to burnout, absenteeism, and low job satisfaction.

5. Briefly explain the major criteria for improving and measuring Quality of Work Life.

Major Criteria for Improving and Measuring Quality of Work Life (QWL):

1. **Open Communication:** Providing free access to necessary information helps employees make informed decisions, fostering transparency and trust between management and employees.
2. **Equitable Reward Systems and Adequate Compensation:** Fair compensation, including salaries, bonuses, and benefits, is essential for maintaining a standard of living and ensuring employees feel valued and motivated.
3. **Safe and Healthy Work Environment:** A safe, clean, and healthy physical workspace is critical for employee well-being. Proper facilities and safety measures can reduce stress and prevent work-related health issues.

4. **Opportunity for Career Growth:** Offering opportunities for advancement and professional development encourages employees to stay engaged and motivated, improving their overall job satisfaction and QWL.
5. **Social Integration in the Workplace:** Encouraging supportive work relationships, teamwork, and interpersonal openness helps create a positive, inclusive work culture, which improves the overall experience for employees.

6. Which factors need to be considered for making QWL Program Effective?

Factors to Consider for Making QWL Program Effective:

1. **Employee Involvement** – Ensuring active participation of employees in decision-making to create a sense of ownership and commitment.
2. **Fair Compensation and Benefits** – Providing competitive salaries, incentives, and benefits to enhance job satisfaction and motivation.
3. **Safe and Healthy Work Environment** – Maintaining workplace safety, ergonomics, and mental health support to reduce stress and improve well-being.
4. **Career Development Opportunities** – Offering training, promotions, and skill enhancement programs to encourage employee growth and retention.
5. **Work-Life Balance** – Implementing flexible work hours, remote work options, and leave policies to support employees' personal and professional lives.
6. **Strong Leadership and Support** – Encouraging open communication, recognition, and a positive relationship between management and employees to foster a productive work culture.

7. What are the elements of organizational environment?

Elements of Organizational Environment:

1. **Internal Environment** – Includes organizational structure, corporate culture, management style, and employee relationships that directly influence business operations.
2. **External General Environment** – Comprises broad external factors such as economic conditions, technological advancements, social trends, and political-legal factors.

3. **Industry Environment** – Encompasses industry-specific forces like competition, suppliers, customers, and market trends that impact business strategy.
4. **Economic Environment** – Includes inflation, interest rates, exchange rates, and overall economic conditions affecting business growth and profitability.
5. **Technological Environment** – Covers innovations, automation, and technological changes that influence production processes and service delivery.
6. **Socio-Cultural Environment** – Considers demographic trends, cultural values, and consumer preferences that shape market demand and business policies.

8. Briefly explain, the key components of internal environment of an organization. 98(1.a)

Key Components of Internal Environment of an Organization:

1. **Owners and Shareholders** – Individuals or groups who have invested in the company and hold decision-making power.
2. **Board of Directors** – A governing body elected by shareholders to oversee management and strategic decisions.
3. **Employees** – The workforce responsible for executing tasks and maintaining operations. Their performance directly affects business success.
4. **Organizational Culture** – The values, beliefs, and behavioral norms that shape employee attitudes and company performance.
5. **Resources of the Organization** – Includes physical (buildings, machinery), financial (capital, funds), human (employees), informational (data, reports), and technological (innovation, know-how) resources.
6. **Organization's Image/Goodwill** – The reputation of the company, which influences customer trust and competitive advantage.

9. What are the elements/factors of general external environment of a financial institution?

Elements of the External Environment

1. **Political Factors** – Government policies, political stability, and regulations impact business operations and investment decisions.
2. **Economic Factors** – Inflation, interest rates, and economic growth influence market demand and consumer purchasing power.
3. **Socio-Cultural Factors** – Traditions, values, and demographic changes shape consumer behavior and product preferences.
4. **Technological Factors** – Innovations and advancements affect production, product development, and competitive advantage.
5. **Legal Factors** – Business laws, regulations, and compliance requirements influence operational decisions and market entry.
6. **Environmental (Natural) Factors** – Resource availability, environmental policies, and climate conditions impact sustainability and operational costs.
7. **Demographic Factors** – Population size, age distribution, income levels, and migration trends affect labor markets and consumer demand.
8. **International Factors** – Globalization, trade policies, and international relations influence cross-border business operations and competition.
9. **Industry/Task Environment** – Includes competitors, suppliers, buyers, new entrants, and substitutes, shaping industry dynamics and market positioning.

10. Describe the types of external environment.

Types of External Environment

1. **General Environment:** This includes broad and non-specific factors like political, economic, socio-cultural, technological, legal, and demographic influences that impact organizations indirectly. These factors affect the industry as a whole and can shape the overall business landscape.
2. **Task/Industry Environment:** The task or industry environment focuses on more specific factors such as customers, competitors, suppliers, and intermediaries. These

factors directly impact the organization's operations and are somewhat controllable, as they are present in the immediate environment around the organization.

11. Discuss the differences between a formal and an informal organizations. 96(1.b)

Differences between Formal and Informal Organizations:

Aspect	Formal Organization	Informal Organization
Structure	Clear, official structure with defined hierarchy and roles.	Evolved naturally, based on personal relationships and networks.
Purpose	Created to achieve specific organizational goals.	Develops based on social interactions and mutual interests.
Authority	Authority flows through the hierarchical structure.	Authority based on personal influence and relationships.
Communication	Follows official channels and structured hierarchy.	Communication occurs informally through personal interactions.
Rules and Procedures	Operates based on official rules, regulations, and procedures.	Operates based on informal norms and unwritten rules.

12. Illustrate the concept of formal organization. State 04 (four) elements of informal organization. 98(2.a)

Formal Organization:

A **formal organization** is a structured system created deliberately by management to achieve the enterprise's objectives. It is a network of official authority relationships, responsibilities, and communication flows, guided by a set of rules, regulations, and procedures. The formal organization defines roles, positions, and hierarchy, with clearly outlined duties and responsibilities to ensure the organization's goals are met efficiently.

Elements of Informal Organization

1. **Hierarchy of Friendships:** Personal connections among employees that form informal power structures.
2. **Division into Cliques:** Small groups within the organization formed based on shared interests or friendships.

3. **Informal Norms and Procedures:** Unwritten rules that guide behavior and operations within the organization.
4. **Personal Relations:** The social connections and interactions among individuals that influence collaboration and work dynamics.

13. What are the elements of formal and informal organization?

Elements of Formal and Informal Organization

Formal Organization:

1. **Hierarchy of Authority:** The formal organization has a clear, structured hierarchy that defines the levels of authority. It ensures a clear chain of command and accountability.
2. **Division of Labor:** Tasks are systematically divided and assigned based on expertise and specialization. This ensures efficiency in achieving organizational goals.
3. **Formalization:** Rules, policies, and procedures are well-documented and followed. This ensures consistency and order within the organization.
4. **Impersonality:** Roles are defined by tasks and responsibilities, not individual characteristics. This promotes a professional work environment and reduces bias.

Informal Organization:

1. **Hierarchy of Friendships:** Social relationships and personal networks influence how work gets done. People tend to work with those they have personal connections with.
2. **Division into Cliques:** Informal groups form based on shared interests, values, or goals. These groups often influence decision-making and work dynamics.
3. **Informal Norms and Procedures:** Unwritten rules develop through social interaction and shared experiences. These norms guide behavior even when not officially documented.
4. **Personal Relations:** Interactions are driven by personal relationships and emotional bonds. These connections can foster collaboration and loyalty among team members.

14. Briefly state the techniques of developing a sound organizational climate. 97(1.c)

Or, Define organizational climate. How can a bank create a positive organ organizational climate to improve satisfaction and performance of its employees? 98(1.c)

Organizational Climate:

Organizational climate refers to the set of measurable properties of the work environment that employees perceive, influencing their motivation and behavior. It represents the internal atmosphere, culture, and work environment of an organization.

Techniques for Developing a Sound Organizational Climate:

1. **Effective Communication System:** Ensuring two-way communication helps employees stay informed and allows managers to adjust decisions based on feedback.
2. **Concern for People:** Management should focus on employee welfare and improving working conditions to foster a positive work environment.
3. **Participative Decision Making:** Involving employees in decision-making, especially in goal-setting, enhances commitment and cooperation.
4. **Change in Policies, Procedures, and Rules:** Updating policies and rules in employees' favor can create a more supportive and lasting work environment.
5. **Technological Changes:** Implementing innovative technologies in consultation with employees improves efficiency and work conditions, reducing resistance to change.

15. What are the features of Organizational Climate?

Features of Organizational Climate

1. **Organizational Perception:** It reflects how employees perceive and form opinions about the organization.
2. **Uniqueness:** Organizational climate varies from one organization to another, making each unique.
3. **Identity and Image:** It provides a distinct identity and image to the organization.
4. **Internal Environment Quality:** It represents the overall quality of the internal work environment.

5. **Long-Term Development:** Organizational climate evolves over a long period based on policies and practices.
6. **Multiple Dimensions:** Leadership styles, management philosophy, attitudes, and communication quality shape it.
7. **Performance Facilitator:** A positive climate enhances organizational performance.
8. **Employee Development:** It helps employees assess themselves and others, leading to personal and professional growth.
9. **Employee Motivation:** The climate influences employee motivation and work engagement.
10. **Job Satisfaction & Productivity:** A good organizational climate positively affects employee behavior, job satisfaction, and performance.

16. What is organizational structure? Briefly explain the key elements of an ideal organization structure. 96(1.a)

Organizational Structure

Organizational structure defines how activities such as task allocation, coordination, and supervision are directed toward achieving organizational objectives. A well-defined structure clarifies each employee's role and their connection within the overall system. It also shapes how individuals perceive the organization and its environment.

Key Elements of an Ideal Organizational Structure:

1. **Work Specialization:**

- ✓ Assigns specific tasks to employees based on their skills, education, and experience.
- ✓ Enhances efficiency by preventing employees from performing unrelated tasks.

2. **Departmentalization:**

- ✓ Groups employees into departments based on tasks, functions, or projects.
- ✓ Common department types include functional, product-based, geographical, and matrix structures.

3. **Chain of Command:**

- ✓ Establishes a clear reporting hierarchy from top management to lower-level employees.

- ✓ Helps in smooth decision-making and accountability.

4. **Span of Control:**

- ✓ Defines the number of employees a manager supervises.
- ✓ A narrow span leads to close supervision, while a wider span allows more autonomy.

5. **Centralization vs. Decentralization:**

- ✓ **Centralized Structure:** Decision-making authority remains at the top level.
- ✓ **Decentralized Structure:** Authority is distributed across multiple levels, promoting flexibility and innovation.

6. **Formalization:**

- ✓ Specifies the organization's policies, rules, and procedures.
- ✓ A high degree of formalization ensures consistency, while a low degree allows flexibility.

An ideal organizational structure balances these elements to ensure efficiency, clear communication, and effective decision-making.

17. Discuss the four types of organizational structure in brief. 97(1.d)

Four Types of Organizational Structure

1. **Functional Structure:**

- ✓ Divides the organization into departments based on expertise (e.g., marketing, sales).
- ✓ Common in small to medium-sized businesses.
- ✓ Ensures specialization but may create departmental silos.

2. **Divisional Structure:**

- ✓ Used in large companies with multiple business units.
- ✓ Each division operates as a separate entity (e.g., Johnson & Johnson).
- ✓ Enhances focus but may lead to duplication of resources.

3. **Flatarchy Structure:**

- ✓ Reduces hierarchy and gives employees more autonomy.
- ✓ Common in startups for faster decision-making.

- ✓ Encourages innovation but can create role confusion.

4. **Matrix Structure:**

- ✓ Employees report to multiple managers across functions and projects.
- ✓ Enhances flexibility but may cause conflicts in authority.

18. Describe the principles of Organizational structure.

Principles of Organizational Structure

1. **Principle of Unity of Objectives:**

- ✓ The organization should have a clearly defined objective.
- ✓ The structure should ensure that all employees contribute effectively toward achieving this goal.

2. **Principle of Specialization:**

- ✓ Work should be assigned based on employees' expertise.
- ✓ It enhances efficiency and reduces unnecessary interference.

3. **Principle of Coordination:**

- ✓ Ensures smooth interaction between different departments and employees.
- ✓ Maximizes collaboration and minimizes conflicts.

4. **Principle of Authority:**

- ✓ Authority should be well-defined and properly delegated.
- ✓ Helps in maintaining discipline and effective decision-making.

5. **Principle of Delegation:**

- ✓ If a task is assigned, sufficient authority should also be given.
- ✓ Enhances efficiency and accountability.

6. **Principle of Efficiency:**

- ✓ The structure should ensure maximum output with minimum resources.
- ✓ Helps optimize time and effort of employees.

7. **Principle of Unity of Command:**

- ✓ Each employee should report to only one supervisor.
- ✓ Avoids confusion and ensures clear accountability.

8. Principle of Span of Control:

- ✓ A manager should have a manageable number of subordinates.
- ✓ Too many subordinates can lead to control and communication issues.

9. Principle of Balance:

- ✓ There should be a proper balance between different organizational units.
- ✓ Effective communication between superiors and subordinates is necessary.

10. Principle of Personal Ability:

- ✓ Employees should be assigned tasks based on their capabilities.
- ✓ Ensures higher productivity and job satisfaction.

11. Principle of Flexibility:

- ✓ The organizational structure should be adaptable to changes.
- ✓ Helps in responding to market or operational changes efficiently.

12. Principle of Simplicity:

- ✓ The structure should be simple and easy to understand.
- ✓ Clearly defines roles, responsibilities, and hierarchy to avoid confusion.

19. Discuss the difference between Hierarchical and Organic Organizational Design.

Difference between Hierarchical and Organic Organizational Design:

Aspect	Hierarchical Structure	Organic Structure
Structure	Rigid, top-down with clear authority levels	Flat, flexible with few management levels
Span of Control	Narrow span of control, clear division between levels	Wide span of control, more collaboration
Division of Labor	Highly specialized tasks, each person has a specific role	General tasks, with less specialization
Communication	Top-down communication, orders and instructions flow down	Two-way communication, flows in all directions
Focus on Goals	Individual goals may differ from organizational goals	Individual goals align with organizational goals
Adaptability	Best for stable environments with predictable tasks	Suited for dynamic environments with changing tasks

20. Define organizational behaviour. Briefly discuss the fundamental concepts of organizational behaviour from the perspective of people and organizations. 96(1.c)

Organizational Behaviour:

Organizational behaviour is the study of how individuals and groups act within an organization. It focuses on understanding, predicting, and managing human behaviour to improve organizational effectiveness and efficiency.

Fundamental Concepts of Organizational Behaviour

From the Perspective of People:

1. **Individual Difference:** Every person has unique traits such as attitudes, values, and beliefs that influence their behaviour and interactions at work.
2. **Perception:** Individuals interpret and respond to their environment differently, which affects how they act in the workplace.
3. **Motivated Behaviour:** People's actions are driven by both internal and external factors, and understanding these motivations helps in improving job satisfaction and performance.

4. **A Whole Person:** Employees bring their personal values, emotions, and life experiences to the workplace, influencing their work attitudes and actions.
5. **Desire for Involvement:** Employees seek opportunities to engage in decision-making and contribute to the organization's success.

From the Perspective of Organizations:

1. **Social Systems:** Organizations are social systems where individuals work together to achieve common goals. Teamwork and collaboration are key.
2. **Mutual Interest:** Both employees and employers share common interests and work together towards the success of the organization.
3. **Ethical Treatment:** Treating employees ethically helps in building trust, loyalty, and a positive organizational culture.

21. Explain the key factors affecting organizational behaviour in the banking industry. 97(2.a)

Key Factors Affecting Organizational Behavior in the Banking Industry:

1. **Work Environment:** The environment in which employees work plays a critical role in shaping their behavior. A positive work environment in banks encourages productivity, teamwork, and job satisfaction.
2. **Human Resource Management:** Effective management of human resources is essential in banks to ensure that employees are motivated, skilled, and aligned with organizational goals, which helps in reducing accidents, errors, and absenteeism.
3. **Organizational Culture:** The culture within a bank, such as meritocracy and competency models, influences employee behavior by establishing standards for recruitment, training, growth, and rewards.
4. **Technological Advancements:** The growth of virtual and internet banking has changed the banking service system and human resource management practices, requiring employees to adapt to new tools, technologies, and processes.
5. **Competition and Market Dynamics:** The competitive landscape in the banking sector drives managers to focus on developing strategic capabilities and foresight to maintain a superior competitive position in a rapidly changing environment.
6. **Value Creation:** Banks need to focus on value creation, both internally (e.g., attracting capital) and externally (e.g., customer satisfaction), to align organizational behavior with growth objectives and meet customer needs effectively.

How the Image of an Organization Affects Behaviors of Its Customers:

1. **Trust and Loyalty:** A positive organizational image builds customer trust and loyalty. Customers are more likely to return to and recommend a brand they perceive positively, as they feel secure in its reliability and quality.
2. **Perception of Quality:** The image of an organization can influence how customers perceive the quality of its products or services. A strong, reputable image often leads customers to expect and receive high-quality offerings.
3. **Emotional Connection:** Organizations with a positive image often create an emotional bond with customers. This emotional attachment can drive customer satisfaction and long-term relationships.
4. **Consumer Confidence:** A strong organizational image instills confidence in customers, making them more comfortable in making purchasing decisions, especially when considering new or unfamiliar products.
5. **Word-of-Mouth and Recommendations:** Customers tend to share their experiences with others, and a positive image can encourage them to recommend the organization to others, boosting the organization's customer base and reputation.

Other Important Broad Questions:

23. What is the difference between Internal and External Environment? 98(4.b)

Difference Between Internal and External Environment:

Point of Difference	Internal Environment	External Environment
Meaning	Environment within the organization, affecting internal operations and decisions.	Environment outside the organization, impacting operations, performance, and profitability.
Control	Factors can be controlled by the organization.	Factors are generally uncontrollable by the organization.
Offers	Offers strengths or weaknesses to the organization.	Offers opportunities or threats to the organization.
Effect of Changes	Changes affect only the company.	Changes affect the entire industry, influencing all organizations in it.
Impact on the Organization	Affects decisions, operations, and objectives of the organization.	Affects growth, profitability, survival, image, and expansion, either positively or negatively.

24. Briefly discuss different elements of task environment of an organization. Which of those are commonly found in financial service sector? 96(2.c)

Different Elements of Task Environment of an Organization:

1. **Suppliers:** Provide essential resources, raw materials, and services required for the organization's operations.
2. **Customers & Buyers:** Customers drive revenue and influence the products and services offered by the organization.
3. **Competitors & New Entrants:** Competitors affect the organization's strategies and market share, while new entrants increase competitive pressure in the industry.
4. **Regulators:** Government or industry bodies regulate and control the practices and policies of the organization to ensure compliance.

5. **Substitute Products:** Products that fulfill similar customer needs and act as indirect competitors in the market.

Common Elements in the Financial Service Sector:

- **Suppliers:** Technology providers, financial service vendors, and infrastructure providers.
- **Customers & Buyers:** The primary revenue sources for financial institutions, including individuals, businesses, and governments.
- **Competitors & New Entrants:** Established banks, fintech companies, and other financial institutions.
- **Regulators:** Bodies like Bangladesh Bank that regulate and supervise the financial sector.
- **Substitute Products:** Digital payment platforms, peer-to-peer lending services, and mobile wallets.

25. How do enternal and external elements influence on Business?

Influence of Internal and External Elements on Business:

1. **Internal Environment:** The internal environment includes factors like organizational culture, resources, management style, and employee relations. These elements directly affect the day-to-day operations and decision-making within the organization. For example, a positive organizational culture can foster innovation and productivity, while poor management can lead to inefficiencies.
2. **External Environment:** The external environment consists of economic, political, social, technological, and legal factors that influence an organization from outside. Changes in regulations, market trends, or economic conditions can significantly impact a company's operations, strategies, and profitability. For instance, economic downturns or new government policies can lead to reduced demand or operational challenges.

Both environments influence business success. Managers must understand these factors to make informed decisions, adapt to changes, and plan for future growth.

26. What is the difference between micro environment and macro environment of an

Difference between Micro Environment and Macro Environment of an Organization:

Aspect	Micro Environment	Macro Environment
Definition	Factors that directly affect the organization's activities and performance.	Broader external factors that impact the entire industry and are beyond the organization's control.
Control	More controllable by the organization.	Not controllable by the organization.
Impact	Direct impact on the organization's daily operations.	Indirect impact, affecting the industry as a whole.
Components	Customers, competitors, suppliers, public, intermediaries.	Economic, political, legal, socio-cultural, technological, and global factors.
Scope	Narrower, specific to the organization's immediate environment.	Broader, affecting the entire industry and market.

27. Discuss the differences between centralization and decentralization in the context of organizational structure. 96(3.a)

Differences between Centralization and Decentralization in Organizational Structure:

Aspect	Centralization	Decentralization
Decision-making	Decision-making is concentrated at the top levels of management.	Decision-making is delegated to lower levels of management.
Control	High control by top management over all organizational activities.	Greater autonomy for lower-level managers and departments.
Flexibility	Less flexibility, as decisions are made by a few individuals at the top.	More flexibility, as decisions are made at various levels.
Responsibility	Clear responsibility lies with top management.	Responsibility is spread across different levels of management.
Communication	Communication is more formal and restricted, flowing from top to bottom.	Communication is more informal and open, flowing in multiple directions.

28. What are the key elements of internal environment of a bank? 96(3.b)

Key Elements of Internal Environment of a Bank:

1. **Owners and Shareholders:** In a bank, owners or shareholders have significant control and influence over decisions. They can be individual investors or institutional shareholders.
2. **Board of Directors:** The board oversees the bank's operations, ensures regulatory compliance, and makes strategic decisions. They guide the top management of the bank.
3. **Employees:** Bank employees, including managers, tellers, and customer service staff, are essential in daily operations. Their skills, motivation, and performance directly affect the bank's success.
4. **Organizational Culture:** The bank's internal culture, including values like trust, integrity, and customer service, shapes employee behavior and customer interactions, affecting the overall performance.

5. **Resources of the Bank:** This includes physical resources like branches and ATMs, financial resources like capital and reserves, human resources, informational resources for decision-making, and technological resources for banking operations.

29. What do you mean by group? What are the key features of a group? 96(3.c)

Group:

A **group** is a collection of two or more people who interact with each other, share common goals, and perceive themselves as members of the same entity. Groups are characterized by their shared identity and mutual influence.

Key Features of a Group:

1. **Formal Social Structure:** Groups often have established roles and norms governing interactions.
2. **Face-to-Face Interaction:** Members communicate directly with each other.
3. **Two or More Persons:** A group consists of at least two individuals.
4. **Common Fate:** Members are collectively affected by the outcomes of the group's actions.
5. **Common Goals:** Groups work towards shared objectives or purposes.

30. Discuss the importance of understanding group dynamics in organization behaviour. 96(3.d)

Importance of Understanding Group Dynamics in Organizational Behavior:

1. **Improves Team Collaboration:** Understanding group dynamics helps enhance communication and cooperation among team members, leading to better teamwork and goal achievement.
2. **Conflict Resolution:** It aids in identifying potential conflicts within a group and provides strategies for resolving them, promoting a harmonious work environment.
3. **Enhances Decision-Making:** Recognizing how group members influence each other can improve decision-making by ensuring diverse perspectives are considered.
4. **Increases Productivity:** Proper understanding of group behavior allows managers to assign roles effectively, increasing efficiency and productivity within teams.
5. **Fosters Positive Work Culture:** Understanding group dynamics helps create a supportive and motivating environment, which is crucial for employee morale and organizational success.

Merits of Organizational Structure:

1. **Clarity of Roles and Responsibilities:** It ensures that each employee knows their duties, leading to effective task allocation and minimizing confusion.
2. **Improved Efficiency:** Specialization allows employees to focus on specific tasks, leading to higher productivity and better use of skills.
3. **Resource Utilization:** It helps in optimizing the use of available resources, ensuring that organizational goals are achieved efficiently.
4. **Clear Hierarchy:** It defines the authority and responsibility of each level, making the decision-making process clearer.
5. **Better Coordination:** A well-structured organization facilitates smooth communication and coordination between departments and individuals.

Demerits of Organizational Structure:

1. **Reduced Creativity:** Rigid job roles and responsibilities may limit individual creativity and innovation.
2. **Limited Flexibility:** Strict hierarchies can make it difficult to adapt to changing circumstances or meet new challenges.
3. **Communication Barriers:** Formal structures can slow down communication between employees or departments, especially in large organizations.
4. **Employee Disengagement:** Fixed roles and lack of autonomy may lead to employee dissatisfaction and disengagement.
5. **High Costs:** Enforcing strict organizational rules and regulations can be time-consuming and costly, affecting the organization's efficiency.

Module B: Basic Management Concept, Environment and Process

1. Describe 05 (five) essential functions of management and explain the roles of those in creating value for a financial institution. 98(4.a)

Or, Discuss the basic functions of business management in brief. 96(4.a)

Five Essential Functions of Management and Their Roles in Creating Value for a Financial Institution:

1. **Planning**

Role in Creating Value: Planning helps financial institutions set goals, forecast market trends, and allocate resources efficiently, ensuring growth and profitability.

2. **Organizing**

Role in Creating Value: Organizing ensures optimal use of human, financial, and technological resources, reducing inefficiencies and boosting productivity.

3. **Staffing**

Role in Creating Value: Staffing places skilled professionals in key roles, improving service quality and customer satisfaction, which enhances the institution's reputation.

4. **Directing**

Role in Creating Value: Directing involves motivating employees and ensuring clear communication, leading to improved performance and customer relationships.

5. **Controlling**

Role in Creating Value: Controlling ensures that performance aligns with objectives, helping the institution maintain stability, manage risks, and create value.

2. What do you mean by business process improvement? Why business process improvement is necessary in a financial institution? Explain in brief. 98(4.c)

Or, Why business process improvement is necessary in the context of a bank? 96(5.c)

Business Process Improvement (BPI):

BPI refers to the practice of analyzing and improving business processes to enhance efficiency, effectiveness, and adaptability. It involves identifying areas where processes can be streamlined, automated, or optimized to achieve better outcomes.

Necessity in a Financial Institution:

1. **Cost Reduction:** By improving processes, financial institutions can reduce operational costs, leading to higher profitability.
2. **Increased Productivity:** Streamlining operations helps in reducing time wasted on manual tasks, boosting employee efficiency.
3. **Better Customer Experience:** Efficient processes lead to quicker response times and smoother transactions, enhancing customer satisfaction.
4. **Compliance and Risk Management:** BPI ensures that processes align with regulations and reduce the risk of errors or fraud.
5. **Competitive Advantage:** Financial institutions with optimized processes can provide faster and better services, helping them stay ahead in a competitive market.

3. "Business processes are intended to derive and contribute to organizational goals."
Briefly explain the statement from your experience. 96(4.d)

The statement "Business processes are intended to derive and contribute to organizational goals" means that business processes are designed and implemented to help achieve the broader objectives of an organization. These processes are structured activities or tasks that, when executed correctly, drive the company towards its set targets, whether it's improving efficiency, increasing revenue, or enhancing customer satisfaction.

For example, in a financial institution, processes like loan approval, customer account management, and transaction handling directly contribute to goals such as customer satisfaction, compliance, and profitability. By optimizing and refining these processes, organizations ensure that their resources are used effectively to meet business goals.

4. What are the differences between process and procedure in the context of financial institutions? 96(5.a)

Difference between Process and Procedure in the context of financial institutions:

Aspect	Process	Procedure
Definition	A series of activities aimed at achieving a specific outcome.	A detailed set of instructions to perform part of a process.
Nature	Broad and involves multiple tasks or actions.	Specific and prescribes how certain steps should be completed.
Flexibility	Flexible and can be adapted based on needs.	Rigid and must be followed precisely.
Scope	Encompasses multiple procedures to achieve a broader goal.	Narrower in scope, dealing with specific steps in a process.
Outcome vs. Instruction	Focuses on the outcome, such as providing a service.	Provides instructions on how to carry out the steps to achieve the outcome.

5. Discuss the difference between business process management and business process improvement. 96(5.b)

Difference Between Business Process Management (BPM) and Business Process Improvement (BPI):

Aspect	Business Process Management (BPM)	Business Process Improvement (BPI)
Definition	A discipline that uses various methods to discover, model, analyze, measure, improve, optimize, and automate business processes.	A management practice focused on improving efficiency and effectiveness of processes by discovering, mapping, analyzing, and redesigning them.
Focus	Encompasses the entire lifecycle of a process from discovery to automation.	Focuses specifically on enhancing the performance of an existing process.
Scope	Broader and involves continuous management and optimization of processes.	More focused on specific improvements and optimizations of particular processes.
Goal	Ensures that processes are consistently efficient and adaptable through continuous monitoring.	Aims at optimizing processes for better outcomes and improved performance.
Approach	Structured, ongoing, and often automated to manage and improve processes.	Targeted interventions to make specific improvements to existing processes.

6. Define time management. Explain Stephen Covey's Time Management Matrix. 98(3.b)

Time Management

Time management refers to the process of planning and controlling the amount of time spent on specific activities to increase productivity, efficiency, and effectiveness. It involves consciously managing time to ensure that tasks and responsibilities are completed within set deadlines, leading to the achievement of goals.

Stephen Covey's Time Management Matrix

Stephen Covey's Time Management Matrix, introduced in his book The 7 Habits of Highly

Effective People, divides tasks into four quadrants based on their urgency and importance. This matrix helps individuals prioritize their activities and allocate their time effectively.

Here's a breakdown of the four quadrants:

1. **Quadrant I: Urgent and Important**
These activities require immediate attention and are critical to success. They include crises, pressing problems, and deadline-driven projects. Tasks in this quadrant are often stressful and must be handled right away.
2. **Quadrant II: Not Urgent but Important**
These are long-term, strategic activities that contribute to personal growth and achievement of goals. This includes planning, relationship building, and personal development. Spending more time in this quadrant prevents crises from occurring in Quadrant I.
3. **Quadrant III: Urgent but Not Important**
Activities in this quadrant appear urgent but are not truly important. They may include interruptions, unnecessary meetings, or trivial tasks. These can be minimized or delegated to focus on more critical tasks.
4. **Quadrant IV: Not Urgent and Not Important**
These tasks are neither urgent nor important. They often involve distractions like excessive social media or unnecessary activities. Spending too much time in this quadrant can waste valuable time and hinder productivity.

Using the Time Management Matrix allows individuals to focus on what matters most, reduce distractions, and work more efficiently.

7. Define time management. Discuss the benefits of time management in the context of financial institutions. 97(3.a)

Time Management:

Time management refers to the process of planning and controlling how much time to spend on specific activities to achieve desired goals efficiently and effectively. It involves prioritizing tasks, setting goals, and using time wisely to ensure that deadlines are met and productivity is maximized.

Benefits of Time Management in Financial Institutions

1. **Increased Productivity:** Proper time management helps employees in financial institutions to focus on high-priority tasks, leading to greater output and better performance.

2. **Improved Decision Making:** When time is managed well, managers and staff can allocate adequate time for research, analysis, and decision-making, ensuring more informed choices.
3. **Reduced Stress:** Effective time management reduces the pressure of last-minute work, thereby reducing stress levels and promoting a healthier work environment.
4. **Better Customer Service:** Financial institutions can respond promptly to client needs and requests, enhancing client satisfaction and loyalty.
5. **Cost Efficiency:** By optimizing time, financial institutions can reduce operational inefficiencies and costs, leading to increased profitability.
6. **Achieving Goals:** With proper time management, financial institutions can achieve their short-term and long-term strategic goals, contributing to sustainable growth.

8. Discuss the primary elements of time management in a financial institution. 97(3.b) / 96(4.b)

Primary Elements of Time Management in a Financial Institution:

1. **Effective Planning:** In a financial institution, effective planning ensures that daily tasks, such as client meetings, report generation, and regulatory compliance, are organized efficiently. A "TASK PLAN" helps employees allocate time for high-priority tasks and complete them within the designated time frame.
2. **Setting Goals and Objectives:** Setting clear and achievable goals is crucial. Financial institutions set specific targets, such as increasing client portfolios, achieving loan disbursement targets, or improving customer satisfaction, to stay focused and aligned with organizational objectives.
3. **Setting Deadlines:** Deadlines are essential in a financial institution to meet reporting requirements, regulatory deadlines, and client expectations. Employees must set personal deadlines and aim to complete tasks ahead of time to avoid last-minute pressure and maintain operational efficiency.
4. **Delegation of Responsibilities:** In a financial institution, delegating responsibilities based on expertise is important. Senior managers can delegate tasks like financial analysis, report preparation, or client meetings to employees with the right skill set, ensuring that work is done on time and by the most suitable person.
5. **Prioritizing Tasks:** Prioritizing tasks based on urgency and importance is vital in financial institutions. High-priority tasks, such as handling client transactions or regulatory filings, should be completed first, while less urgent tasks can be handled later, ensuring smooth operations.

6. **Spending the Right Time on the Right Activity:** In a financial institution, allocating time for critical activities, such as client transactions or financial forecasting, ensures that employees focus on the most impactful tasks. Avoiding time wastage on non-essential activities like excessive social media browsing ensures productivity and efficiency in meeting institutional goals.

9. Write down the process of time management.

Process of Time Management:

1. **Set your own priorities:** Identify and categorize your priorities into personal and professional areas. This helps in focusing on what truly matters.
2. **Determine your goals for each priority:** Set clear and achievable goals for both personal and professional priorities.
3. **Plan the steps for goal attainment:** Break down the goals into smaller, manageable tasks and plan how to achieve them efficiently.
4. **Allocate time appropriately for each step:** Assign specific time slots to each task based on its importance and urgency.
5. **Use time management tools/techniques:** Utilize tools like calendars, to-do lists, and digital apps to help track and manage your time effectively.

10. What are the benefits of using time management matrix. 96(5.d)

Benefits of Using the Time Management Matrix:

1. **Increased Productivity:** By prioritizing tasks, you can focus on what matters most and complete important tasks efficiently, ultimately achieving more in the same amount of time.
2. **Developing Better Habits:** The matrix helps you identify where you spend most of your time and assess your behavior, enabling you to form better habits by focusing more on tasks in Quadrants Q1 and Q2.
3. **Work-Life Balance:** Effective time management allows you to allocate more time to personal activities, helping to achieve a better work-life balance.
4. **Improved Planning Skills:** Prioritizing tasks using the matrix helps you set clear short-term goals and plan long-term initiatives more effectively.

11. Discuss the relationship between stress and job performance. Explain different approaches of stress management. 97(4.a)

Relationship between Stress and Job Performance:

Stress can have both positive and negative effects on job performance. At moderate levels, stress can be beneficial, as it motivates employees to meet job demands and improve their performance. This type of stress, known as constructive or eustress, helps employees channel their energy and resources to tackle challenges effectively. However, excessive stress leads to a decline in performance, known as distress. Once stress becomes overwhelming, employees may struggle to make decisions, become erratic in their behavior, and experience burnout. Performance deteriorates, and the employee may become too ill to work or even leave the job.

Approaches to Stress Management:

1. **Time Management:** Effective time management helps reduce stress by allowing employees to prioritize tasks, meet deadlines, and avoid last-minute rushes.
2. **Relaxation Techniques:** Practices like deep breathing, meditation, or yoga can help employees relax and reduce physical and emotional tension caused by stress.
3. **Social Support:** Building strong relationships with coworkers and supervisors provides emotional support, helping employees cope with workplace pressures.
4. **Workplace Environment:** Creating a positive and supportive work environment reduces stress. This includes clear communication, fair workloads, and recognition of achievements.
5. **Stress-Relief Programs:** Organizations can implement programs like counseling services, stress management workshops, or fitness initiatives to help employees manage stress.

By addressing stress with these approaches, organizations can improve both employee well-being and overall job performance.

12. Explain different stress management techniques. Does stress density depends on type of people?

Stress Management Techniques:

1. **Time Management:** Proper planning and prioritizing tasks help manage stress by reducing pressure and ensuring timely completion of work. Effective time management ensures that employees are not overwhelmed by last-minute deadlines.
2. **Relaxation Techniques:** Practices such as deep breathing, meditation, and yoga help reduce stress by calming the mind and body, promoting mental clarity and emotional well-being.
3. **Social Support:** Building strong relationships with colleagues, friends, or family provides emotional support, which helps individuals cope better with stress by sharing problems and receiving guidance.
4. **Exercise:** Physical activity, such as regular workouts or even walking, helps relieve stress by releasing endorphins (hormones that promote feelings of happiness and relaxation).
5. **Positive Thinking:** Encouraging a positive mindset, focusing on solutions instead of problems, and practicing gratitude can shift an individual's perception of stressful situations, making them easier to handle.
6. **Work Environment Improvement:** Ensuring a comfortable, well-organized, and supportive work environment can reduce external stressors and make employees feel more in control of their tasks.

Does Stress Density Depend on the Type of People:

Yes, stress density often depends on the type of person. **Type A** individuals, who are competitive, impatient, and highly driven, tend to experience higher stress levels due to their constant pressure to perform and meet deadlines. They are more likely to suffer from stress-related illnesses, such as heart disease.

In contrast, **Type B** individuals, who are relaxed and less competitive, experience lower levels of stress because they are more adaptable to stressful situations and handle challenges more calmly. Therefore, stress density varies based on individual personalities and their coping mechanisms.

Module C: Staffing and Human Resource Management in Banks

1. What is meant by human resources management (HRM)? 96(7.a)

Human Resources Management (HRM):

Human Resources Management (HRM) refers to the strategic approach of managing people within an organization to maximize their performance and contribute to business success. It includes recruitment, training, performance evaluation, compensation, and employee relations. HRM ensures a productive work environment by aligning employee goals with organizational objectives.

2. Discuss the key roles human resources management plays in banks. 96(7.b)

Key Roles of Human Resources Management in Banks:

Human Resources Management (HRM) plays a crucial role in banks by ensuring effective workforce management. The key roles include:

1. **Staffing and Recruitment** – HRM is responsible for hiring skilled professionals, from loan officers to risk analysts, ensuring the bank has competent employees to meet customer needs.
2. **Workplace Policies Development** – HRM establishes policies on ethics, dress code, internet use, and discipline to maintain a professional banking environment.
3. **Compensation and Benefits Administration** – HRM ensures competitive salary structures, bonuses, health benefits, and retirement plans to attract and retain top talent.
4. **Employee Retention** – By fostering a positive work culture and addressing employee concerns, HRM reduces turnover and maintains a stable workforce.
5. **Training and Development** – HRM provides job skills training, regulatory compliance training, and leadership development programs to enhance employee performance.
6. **Legal Compliance** – Banks must comply with labor laws, minimum wage laws, and anti-discrimination regulations, which HRM oversees to avoid legal issues.
7. **Worker Protection and Safety** – HRM ensures a safe work environment, including measures for data security, employee confidentiality, and workplace safety regulations.

8. **Managing External Factors** – HRM adapts to economic changes, technological advancements, and regulatory shifts, ensuring the bank remains competitive and compliant.

3. Briefly discuss the significant issues of managing human resources in banks. 96(7.c)

Key Issues of Managing Human Resources in Banks:

The four key HRM issues in banks are **Planning, Acquiring the Right People, Developing & Retaining Employees, and Handling Employee Exit.**

1. **Planning** – Banks need a well-structured manpower plan aligned with their business strategy. This includes recruitment, skill upgradation due to technological advancements, and managing a multi-generational workforce. A strong **employer brand** is also necessary to attract and retain talent.
2. **Acquiring the Right People** – Recruiting from top institutes may not always ensure suitability for financial inclusion or rural banking. Banks must focus on selecting candidates from diverse backgrounds, considering psychological attributes, and offering competitive compensation.
3. **Developing & Retaining Employees** – Continuous **training and re-skilling** are essential. Performance measurement, promotion, transfer policies, and talent management must be fair and need-based. Employee **empowerment** through delegation and reducing bureaucracy improves job satisfaction.
4. **Handling Employee Exit** – Effective exit strategies help retain organizational knowledge and maintain smooth transitions, ensuring long-term stability.

4. Briefly discuss the key steps within staffing function of human resources management.

Key Steps in Staffing Function of Human Resource Management:

1. **Manpower Planning** – Determines the number and type of employees needed through workload and workforce analysis.
2. **Recruitment** – Identifies and attracts potential candidates from internal or external sources.
3. **Selection** – Screens and chooses the most suitable candidates through tests, interviews, and evaluations.
4. **Placement and Orientation** – Assigns selected employees to positions and familiarizes them with the organization.
5. **Training and Development** – Enhances employees' skills and knowledge for better performance and career growth.
6. **Performance Appraisal and Compensation** – Evaluates employee performance and provides fair rewards to ensure motivation and retention.

5. "Staffing is the most significant part of Human Resource Management in banks."-Do you agree with this statement? Explain in brief. 97(5.b)

Staffing is the most significant part of Human Resource Management in banks:

Yes, I agree with this statement. In banks, staffing is crucial as it directly impacts the quality of service, customer satisfaction, and overall organizational performance. The right employees ensure efficient operations, regulatory compliance, and effective risk management. A bank's ability to hire skilled professionals, such as relationship managers, loan officers, and financial analysts, determines its success in meeting customer needs and achieving growth. Thus, proper staffing ensures a competent workforce, enhances productivity, and supports the bank's long-term objectives.

6. "Staffing is a continuous process that fills and keeps filled the positions in an organizational structure."-Briefly explain the statement. 97(6.a)

"Staffing is a continuous process that fills and keeps filled the positions in an organizational structure."

Staffing is an ongoing process that ensures the right people are recruited for the right positions at all times. It involves identifying manpower needs, recruiting, selecting, training, and developing employees to fill positions within an organization. Once the roles are filled, staffing also ensures that these positions remain filled through employee retention strategies, promotions, and career development. This continuous process helps maintain a well-functioning organization, supporting both short-term needs and long-term growth.

7. Define staffing in the context of human resource management. Briefly describe the staffing process of a bank. 98(6.c)

Staffing in Human Resource Management:

Staffing in human resource management is the process of ensuring an organization has the right number of qualified employees to achieve its objectives. This involves recruiting, selecting, training, and retaining employees who are best suited for the organization's needs and goals.

Staffing Process in a Bank:

1. **Estimating Manpower Requirements:**
Banks analyze the workload and current staffing levels to determine how many employees are needed and what skills are required, ensuring optimal staffing.
2. **Recruitment:**
Banks attract potential candidates from both internal and external sources. Job advertisements, recruitment agencies, and job portals are common methods used to create a pool of qualified applicants.
3. **Selection:**
After gathering applicants, banks conduct interviews, tests, and other assessments to select the best candidates who match the job requirements and fit the bank's culture.
4. **Placement and Orientation:**
New employees are assigned to their respective roles, and an orientation process is conducted to introduce them to the bank's policies, culture, and job responsibilities.

5. **Training and Development:**

Continuous training is provided to enhance employees' skills and knowledge in areas like financial products, customer service, and compliance with banking regulations.

6. **Performance Appraisal:**

Banks evaluate employees' performance regularly to assess their productivity, provide constructive feedback, and identify areas for improvement.

7. **Promotion and Career Planning:**

Based on performance, employees may be promoted to higher positions with more responsibilities, and career development plans are designed to help employees grow professionally.

8. **Compensation:**

Competitive compensation packages, including salaries, bonuses, and benefits, are offered to attract and retain skilled employees while ensuring motivation and job satisfaction.

This comprehensive staffing process ensures that a bank maintains a skilled and motivated workforce, which is essential for achieving its operational goals and delivering excellent customer service.

8. What is performance appraisal? Discuss the role of performance appraisal in banks. 96(6.c)

Performance Appraisal:

Performance Appraisal is the systematic evaluation of an employee's job performance and their potential for growth. It helps organizations assess employees' strengths, weaknesses, and overall contribution to the company.

The role of performance appraisal in banks:

In **banks**, performance appraisals serve several critical functions:

1. **Employee Development:** It helps identify areas where bank employees excel and areas needing improvement, enabling targeted training and skill development.
2. **Promotion and Compensation:** Performance appraisals assist in deciding promotions, salary hikes, bonuses, and other compensation packages based on merit rather than seniority.

3. **Feedback for Employees:** It provides employees with feedback on their performance, helping them understand their progress and areas of improvement.
4. **Aligning Organizational Goals:** The appraisal process ensures that employees' goals are in line with the bank's objectives, promoting greater productivity.
5. **Employee Motivation:** By recognizing and rewarding good performance, it boosts employee morale and motivation, leading to increased efficiency.
6. **Succession Planning:** Helps banks identify future leaders by evaluating potential employees for higher responsibilities.

9. What is performance appraisal? Discuss the 360-degree feedback of performance. 98(5.b)

Performance Appraisal:

Performance Appraisal is a systematic evaluation of an employee's job performance and potential for future growth. It helps organizations assess employee productivity, strengths, weaknesses, and areas for improvement.

360-degree feedback of performance:

360-Degree Feedback of Performance is a comprehensive appraisal method where feedback about an employee's performance is collected from multiple sources. These include:

1. **Self-Appraisals:** Employees evaluate their own performance, recognizing their strengths and areas for improvement.
2. **Managerial Reviews:** Managers assess the employee's performance, including ratings and evaluations.
3. **Peer Reviews:** Coworkers provide insights into the employee's teamwork, initiative, and reliability.
4. **Subordinates Appraising Managers (SAM):** Subordinates provide feedback on managerial effectiveness and leadership.
5. **Customer or Client Reviews:** Feedback is obtained from internal or external customers, evaluating the employee's contribution to service delivery.

360-degree feedback offers a well-rounded view of an employee's performance but may be affected by biases like friendships or workplace politics.

10. Discuss the advantages of performance appraisal in brief. 98(5.c)

Advantages of Performance Appraisal:

1. **Promotion:** Performance appraisals help supervisors identify top performers and create promotion programs. Inefficient employees can be demoted or dismissed based on their performance.
2. **Compensation:** Performance appraisals play a crucial role in determining compensation packages, including bonuses, salary increases, and other benefits, based on merit rather than seniority.
3. **Employee Development:** Performance appraisals help supervisors identify employees' strengths and weaknesses, enabling the design of training programs and future development opportunities for efficient employees.
4. **Selection Validation:** Appraisals help assess the effectiveness of the employee selection process, identifying strengths and weaknesses in the hiring process, which can guide future improvements.
5. **Communication:** Appraisals improve communication between employees and employers. It fosters understanding, builds trust, and enhances labor-management relations, while boosting employee morale.
6. **Motivation:** By evaluating employees' performance against set targets, appraisals motivate employees to improve their productivity and achieve better results in the future.

11. Discuss the importance of training and development in the Human Resources Management (HRM) of banks. 97(5.a)

Importance of Training and Development in HRM of Banks:

1. **Enhances Employee Skills:** Training and development programs help employees acquire necessary skills and knowledge, improving their ability to perform tasks efficiently and effectively, which is crucial for a bank's success.
2. **Increases Productivity:** Well-trained employees tend to work faster and with higher accuracy. This leads to increased productivity, which is vital in the fast-paced and competitive banking environment.
3. **Improves Customer Service:** Through training, employees are better equipped to handle customer queries, complaints, and provide personalized services, which enhances

customer satisfaction and loyalty.

4. **Compliance and Risk Management:** Banks operate under strict regulatory frameworks. Training ensures employees are aware of these regulations and equipped to handle compliance, minimizing the risk of legal issues or penalties.
5. **Employee Retention:** Investing in training and development helps in retaining skilled employees. It boosts employee morale and job satisfaction, reducing turnover rates in the bank.
6. **Adapts to Technological Changes:** In the banking sector, technology evolves rapidly. Training helps employees stay updated with new technologies, improving operational efficiency and the bank's overall competitiveness.

12. What do you mean by 'on-the-job training'? Briefly discuss the benefits of 'on-the-job training in banks. 98(5.a)

On-the-job training:

On-the-job training (OJT) refers to a process where employees acquire job-related skills and knowledge while performing their work tasks in the actual work environment. It involves learning through hands-on experience using the tools, equipment, and processes they will use on the job.

Benefits of 'on-the-job training' in banks:

1. **Low Cost:** OJT is a cost-effective way of training since it utilizes existing resources and does not require external instructors or training programs.
2. **Practical Learning:** Employees gain practical, real-time experience that is directly applicable to their job functions, enhancing their ability to perform tasks efficiently.
3. **Familiar Work Environment:** Trainees are trained in the actual work environment, making them feel more comfortable and reducing the learning curve.
4. **Immediate Feedback:** Trainees receive immediate feedback from mentors or supervisors, helping them correct mistakes and improve performance quickly.
5. **Enhanced Employee Motivation:** As employees learn hands-on and understand their role better, their job satisfaction and motivation increase.
6. **Employee Loyalty:** Since employees are trained on the job, they feel a stronger connection to the company, leading to increased loyalty and retention.

13. What is on-the-job training? Briefly discuss the benefits and disadvantages of on-the-job training. 96(6.b)

On-the-Job Training:

On-the-job training (OJT) is a process where employees learn and develop skills while performing their job duties in the actual work environment. It involves using the tools, equipment, and real work situations to teach employees how to perform specific tasks.

Benefits of On-the-Job Training

1. **Cost-Effective:** It is a low-cost method because it doesn't require external trainers or off-site training.
2. **Practical Learning:** Employees gain hands-on experience, making the learning process more effective.
3. **Familiar Environment:** Trainees feel comfortable as they learn in the workplace they will operate in.
4. **Immediate Feedback:** Trainers can provide real-time feedback, helping employees improve their performance quickly.
5. **Employee Motivation:** It boosts morale by allowing employees to learn and grow in a supportive environment.

Disadvantages of On-the-Job Training

1. **Trainer's Skill:** If the trainer lacks proper skills, the quality of training may be compromised.
2. **Disruption in Work:** The training process might disrupt regular work and affect productivity.
3. **Inconsistent Training:** Without a structured program, training can be inconsistent, leading to gaps in knowledge.
4. **Quality Control Issues:** Poor training can impact product quality and performance.
5. **Time Constraints:** Limited time for practice can hinder the effectiveness of learning.

14. Describe the benefits of "off-the-job" training in an organization. 97(6.b)

Benefits of "Off-the-Job" Training in an Organization

1. **Reduced Distractions:** Off-the-job training takes place away from the workplace, allowing employees to focus fully on learning without the distractions of day-to-day tasks.
2. **Enhanced Learning Experience:** Employees can learn from experts in the field, gaining deeper insights and specialized knowledge that improve their job performance.
3. **Increased Job Satisfaction:** By investing in employee training, organizations demonstrate that they value their employees' growth, which can enhance job satisfaction and loyalty.
4. **Opportunity for Peer Learning:** Employees benefit from learning alongside colleagues from different departments, sharing experiences and perspectives.
5. **Minimized Stress:** As off-the-job training occurs away from the work environment, employees are free from the stress and pressure of regular job responsibilities.
6. **Improved Productivity:** The knowledge gained from off-the-job training can boost employees' confidence and skills, leading to increased productivity in the workplace.

15. Discuss the differences between 'hard skills' and 'soft skills' of employees. State 06 (six) examples of 'soft skills. 98(6.a)

Differences between 'Hard Skills' and 'Soft Skills':

Aspect	Hard Skills	Soft Skills
Definition	Technical skills or knowledge acquired through education or training.	Interpersonal and behavioral traits that help in dealing with people and situations.
Nature	Specific, rule-based, and measurable.	People-oriented, emotional, and intangible.
Learning Source	Learned through formal education or training.	Developed through life experiences and emotional intelligence.
Focus	Task-specific skills (e.g., computer programming, accounting).	Relationship-building and personal effectiveness (e.g., communication, leadership).

Examples	Software development, data analysis, financial modeling.	Communication, teamwork, problem-solving, leadership.
Importance	Necessary for performing technical tasks.	Essential for collaboration, leadership, and creating a positive work environment.

6 Examples of 'Soft Skills':

1. **Communication** - Ability to exchange information clearly and effectively.
2. **Teamwork** - Collaborating effectively with others to achieve a common goal.
3. **Problem Solving** - Analyzing issues and finding effective solutions.
4. **Leadership** - Motivating and guiding others towards achieving goals.
5. **Time Management** - Managing one's time effectively to meet deadlines.
6. **Adaptability** - Being flexible and adjusting to changes or new environments.

16. Why hard skills' and 'soft skills' are important in financial institutions? 98(6.b)

Importance of Hard Skills and Soft Skills in Financial Institutions:

1. **Hard Skills:** These are technical skills acquired through education or training, such as knowledge of accounting, financial analysis, risk management, and software tools. In financial institutions, hard skills are essential for ensuring precise calculations, compliance with regulations, and accurate financial transactions.
2. **Soft Skills:** These are interpersonal skills, such as communication, problem-solving, teamwork, and emotional intelligence. Soft skills are crucial for maintaining client relationships, managing stress, and working effectively in teams. They help employees to adapt to changing environments and collaborate with clients and colleagues.
3. **Balance between Both:** Financial institutions require a balance of both hard and soft skills. While hard skills ensure technical expertise, soft skills enable employees to communicate effectively with clients, collaborate within teams, and navigate challenges, contributing to the overall success of the institution.
4. **Enhance Customer Experience:** In banking, soft skills like empathy and communication improve client interactions, building trust and customer loyalty, while hard skills ensure accuracy and efficiency in delivering financial services.
5. **Adaptability and Growth:** Financial institutions must adapt to rapid technological advancements. Employees with both hard and soft skills are better equipped to learn new technologies, lead changes, and contribute to the institution's long-term growth.

17. What is Management By Objectives (MBO)? What are the steps to implement a successful MBO program? 98(8.a)

Management by Objectives (MBO):

Management by Objectives (MBO) is a performance appraisal method where managers and employees collaboratively identify, plan, and communicate goals to be achieved during a specific period. This method aligns individual goals with organizational objectives, using the SMART criteria (Specific, Measurable, Achievable, Realistic, and Time-sensitive) to ensure the goals are clear and feasible. At the end of the review period, employees are assessed based on the results, with success leading to rewards like promotion or salary hikes, and failure leading to corrective actions such as transfers or additional training.

Steps to Implement a Successful MBO Program:

1. **Set Specific Goals:** Every manager should have 5-10 goals, clearly defined in measurable terms.
2. **Goal Proposal and Review:** Managers propose goals in writing, which are finalized after review.
3. **Define Plans:** Each goal should have a description and a clear action plan to achieve it.
4. **Measure Progress:** Define how progress will be measured and how often (at least quarterly).
5. **Corrective Actions:** Identify corrective actions if progress doesn't meet expectations.
6. **Align Goals:** Ensure that goals at each level align with the organization's objectives and higher/lower levels.

18. Discuss the psychological appraisal method. 98(8.c)

Psychological Appraisal Method:

1. **Focus on Future Potential:** This method assesses an employee's future performance rather than past work, analyzing potential for growth.
2. **Key Components Assessed:** It evaluates interpersonal skills, cognitive abilities, leadership qualities, personality traits, emotional quotient, and other relevant skills.

3. **Conducted by Professionals:** Qualified psychologists administer various tests, including in-depth interviews, psychological tests, and discussions.
4. **Scenario-Based Evaluation:** Specific work scenarios, such as handling difficult customers, are used to assess skills like persuasion and emotional responses.
5. **Ideal for Large Organizations:** The method is particularly useful for leadership development, team building, and conflict resolution in large enterprises.
6. **Challenges:** It can be slow and complex, with results heavily dependent on the psychologist's expertise. Issues like lack of training, unqualified professionals, and candidate anxiety can skew results.

Module D: Employee Motivation and Leadership

1. Define motivation. How does the Expectancy Theory work in motivating employees of an organization? 98(7.a)

Motivation:

Motivation is the internal process that drives an individual to take action to fulfill their desires, needs, and goals. In an organizational context, it refers to the efforts made by managers to encourage employees to perform tasks that align with both personal and organizational goals.

Expectancy Theory in Motivating Employees:

1. **Attractiveness:** Employees are motivated if the reward is meaningful to them and satisfies their unmet needs.
2. **Performance-Reward Linkage:** Employees must believe that performing well will lead to receiving the reward they desire.
3. **Effort-Performance Linkage:** Employees must perceive that putting in effort will result in better performance and, ultimately, the desired outcome.

According to Expectancy Theory, employees are motivated when they believe their effort will lead to desired performance, which will result in rewards that fulfill their personal goals.

2. "According to Herzberg's theory of motivation, job security and working conditions are dissatisfiers; not motivators." Do you agree with this statement? Give rationale in support of your answer. 96(8.b)

Yes, I agree with this statement. According to Herzberg's Two-Factor Model, **job security** and **working conditions** are classified as **hygiene factors** or **maintenance factors**, which can lead to dissatisfaction if they are absent or inadequate. However, their presence does not necessarily motivate employees to perform better or enhance job satisfaction. Instead, they help maintain a neutral or baseline level of satisfaction.

Rationale:

1. **Hygiene Factors Are Necessary but Not Sufficient:** Job security and working conditions are essential for preventing dissatisfaction, but they don't actively motivate employees to perform at their best. If employees feel their job is insecure or the working conditions are

poor, they are likely to be dissatisfied. But when these factors are present and adequate, employees typically do not feel significantly motivated or satisfied; they just don't feel dissatisfied.

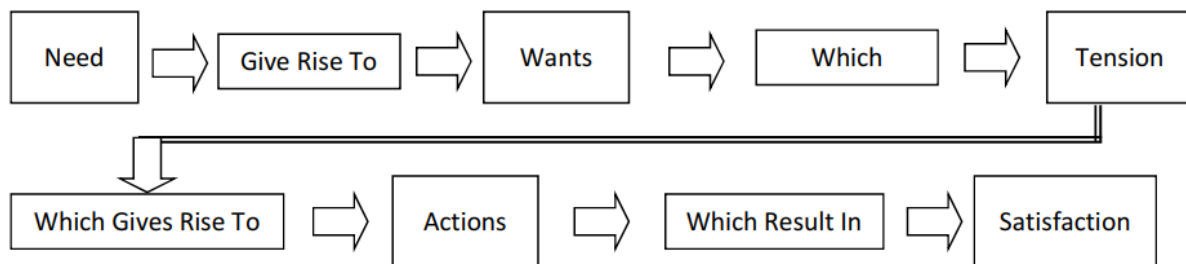
2. **Motivational Factors Drive Motivation:** For true motivation, Herzberg identified **motivational factors** like achievement, recognition, and responsibility. These factors are directly linked to job content and can lead to higher job satisfaction and increased performance. Employees are motivated when they find their work meaningful and when they experience personal growth or success.

Thus, while job security and working conditions are important for preventing dissatisfaction, they are not enough to create motivation or job satisfaction on their own.

3. Demonstrate the Need-Want-Satisfaction chain of motivation. 97(7.a)

The Need-Want-Satisfaction Chain of Motivation:

The **Need-Want-Satisfaction Chain** explains how motivation operates through a sequence of steps. It begins with **felt needs**, leading to **wants or goals**, and ultimately leads to **satisfaction**.



The chain is as follows:

1. **Felt Needs:** The process begins with the realization of unmet needs. These needs can be physiological (such as hunger) or psychological (like the desire for social recognition). The environment plays a key role in stimulating these needs. For example, seeing food may create a need for nourishment.
2. **Wants or Goals:** The recognition of unmet needs results in the development of specific wants or goals. For instance, hunger may lead to the goal of finding food, or the desire for a promotion may lead to the goal of career advancement.
3. **Tension (Unfulfilled Desires):** The gap between the current state and the goal creates tension, a driving force that motivates action. This tension arises because the person desires fulfillment of their needs.

4. **Actions Toward Achieving Goals:** To relieve this tension, individuals take actions aimed at fulfilling their wants or needs, such as applying for a promotion or searching for food.
5. **Satisfaction:** Once the goal is achieved, satisfaction occurs, and the tension is relieved. If the goal is not met, the process may continue or intensify.

This cycle repeats as new needs emerge, influenced by the individual's environment and circumstances.

4. Compare and contrast Maslow's "Hierarchy of Needs" and Herzberg's "Two-Factor Model" of employee motivation. 98(8.a)

Comparison of Maslow's "Hierarchy of Needs" and Herzberg's "Two-Factor Model":

Aspect	Maslow's Hierarchy of Needs	Herzberg's Two-Factor Model
Theoretical Framework	Human needs are arranged in a hierarchy, from physiological needs to self-actualization.	Divides factors into hygiene factors (prevent dissatisfaction) and motivational factors (promote motivation).
Focus of the Model	Focuses on a broad range of human needs including physiological, safety, love, esteem, and self-actualization.	Focuses specifically on job-related factors, identifying what causes dissatisfaction and what motivates employees.
Levels of Needs	Five levels: Physiological, Safety, Love, Esteem, Self-Actualization.	Two categories: Hygiene Factors and Motivational Factors.
Motivation Process	Once a lower-level need is satisfied, the next higher-level need becomes the dominant motivator.	Hygiene factors prevent dissatisfaction, but true motivation comes from fulfilling motivational factors.
Application in Workplace	Applied broadly to human behavior, requiring employers to meet basic needs to help employees reach self-actualization.	Focuses on job satisfaction, requiring employers to address hygiene factors and introduce motivational factors to inspire employees.

5. Briefly discuss McGregor's theory X and theory Y. 96(8.c)

McGregor's Theory X and Theory Y:

McGregor's Theory X and Theory Y present two different assumptions about employees that shape managerial behavior.

- **Theory X** assumes that employees inherently dislike work, are unambitious, and need to be controlled or threatened with punishment to achieve goals. Managers who hold this view believe that employees will avoid responsibility and seek direction, with a focus on fulfilling lower-order needs.
- **Theory Y** assumes that work is natural for employees, who will self-direct and exercise control when committed to organizational goals. It suggests that employees seek responsibility, are creative, and that decision-making and problem-solving capabilities are widespread. Theory Y emphasizes the fulfillment of higher-order needs.

McGregor favored Theory Y, promoting practices that encourage employee participation, responsibility, and growth for better motivation.

6. Conceptualize leadership in the context of banking industry of Bangladesh. State four top qualities of a leaders. 96(8.a)

Leadership in the Context of the Banking Industry of Bangladesh:

In the context of Bangladesh's banking industry, leadership plays a critical role in ensuring the growth and sustainability of financial institutions. Banking leaders in Bangladesh are responsible for driving innovation, managing risk, and navigating regulatory frameworks while addressing the diverse needs of customers. Effective leadership helps in building customer trust, adapting to technological advancements, and maintaining financial stability. Furthermore, leaders must steer their institutions toward profitability while ensuring social responsibility and inclusiveness, particularly in the context of a developing economy like Bangladesh.

Four Top Qualities of a Leader

1. **Visionary Thinking:** A leader in the banking industry should have a clear vision for the future, guiding the bank toward sustainable growth. Visionary leaders can anticipate market trends and create strategies to capitalize on emerging opportunities.
2. **Integrity:** Integrity is crucial in the banking sector, where leaders are entrusted with large sums of money and customer data. Leaders must uphold ethical standards, ensuring transparency and trust within the bank and with its customers.

3. **Adaptability:** Given the fast-evolving financial landscape in Bangladesh, leaders need to be adaptable to new technologies, regulations, and market demands. Adaptability enables leaders to respond effectively to changing economic conditions and customer needs.
4. **Decisiveness:** In the fast-paced and often uncertain environment of banking, leaders must be able to make timely, informed decisions. Decisiveness helps maintain operational efficiency and ensures that the bank remains competitive in a dynamic market.

These qualities help banking leaders in Bangladesh effectively manage their institutions, ensure compliance with regulations, and build strong relationships with customers.

7. Discuss the role of leadership in financial institutions. 98(7.b)

Role of Leadership in Financial Institutions:

1. **Strategic Vision and Direction:** Effective leadership provides a clear vision and strategic direction for financial institutions, ensuring they align with market needs and regulatory standards. This helps in long-term growth and sustainability.
2. **Risk Management:** Leaders in financial institutions play a crucial role in identifying, assessing, and managing financial risks. Their decisions ensure that the institution can withstand economic fluctuations and unforeseen challenges.
3. **Enhancing Trust and Credibility:** Leadership in financial institutions builds trust among stakeholders, including customers, employees, and investors. Their integrity and transparency strengthen the institution's reputation and customer loyalty.
4. **Innovation and Adaptability:** In the face of changing market dynamics, strong leadership encourages innovation. This includes adopting new technologies, services, and strategies to stay competitive and meet customer demands.
5. **Employee Motivation and Development:** Good leaders foster a positive work culture, motivating employees, providing training, and ensuring that their team is well-equipped to perform at its best, which in turn improves service delivery.
6. **Regulatory Compliance:** Leaders ensure that financial institutions comply with local and international regulations. This safeguards the institution from legal issues and maintains operational integrity in a regulated environment.

8. Demonstrate McClelland's Three Needs Theory.

McClelland's Three Needs Theory

David McClelland's Three Needs Theory explains that individuals are primarily motivated by one of three needs: **power, achievement, or affiliation**. These needs shape their behavior and performance in the workplace.

1. Need for Power (nPOW)

- ✓ Individuals with a high need for power seek to **influence and control** others.
- ✓ They enjoy leadership roles, making decisions, and delegating tasks.
- ✓ High power-motivated individuals may be **competitive and authoritative**, which can either inspire or intimidate others.

2. Need for Achievement (nACH)

- ✓ These individuals strive for **excellence and success**.
- ✓ They prefer challenging tasks where they can measure their success through **clear results**.
- ✓ Achievement-motivated individuals often avoid teamwork as they prefer personal control over outcomes.

3. Need for Affiliation (nAFF)

- ✓ Such individuals prioritize **social relationships** and harmony.
- ✓ They prefer working in teams and seek **acceptance and approval** from others.
- ✓ While they foster teamwork, they may lack the ambition to rise to leadership positions.

This theory is widely applied in **workplace motivation and leadership development**, helping organizations identify and nurture employees based on their dominant need.

9. Briefly describe the concept theory of leadership.

Concepts and Theories of Leadership

1. Great Man Theory

- ✓ Suggests that leaders are born with natural leadership qualities like charisma, wisdom, and decisiveness.
- ✓ Believes leadership **cannot be learned or developed**.
- ✓ Assumes that **exceptional leaders emerge when needed**.
- ✓ Leadership qualities **remain constant across all organizations**.

2. Trait Theory

- ✓ Proposes that effective leaders possess **specific personality traits** such as confidence and communication skills.

- ✓ Traits like emotional stability, motivation, and decision-making ability define good leadership.
- ✓ Believes some people are naturally more suited for leadership.
- ✓ Organizations use this theory to identify potential leaders.

3. Transactional Theory

- ✓ Emphasizes **hierarchy, structure, and rewards** to boost productivity.
- ✓ Leaders **monitor employees** and reward or discipline based on performance.
- ✓ Focuses on **following rules and achieving immediate goals**.
- ✓ Discourages **creativity and innovation**, prioritizing efficiency.

4. Transformational Theory

- ✓ Leaders **inspire employees** to exceed their own capabilities.
- ✓ Focuses on **vision, teamwork, and employee development**.
- ✓ Encourages **innovation, motivation, and personal growth**.
- ✓ Leaders lead by **example rather than authority**.

5. Contingency Theory

- ✓ States that **no single leadership style works for all situations**.
- ✓ Effective leadership depends on **internal and external factors** like work culture and team maturity.
- ✓ Leaders must **adapt their approach** to fit the scenario.
- ✓ Success is determined by **matching the right leader to the right situation**.

6. Situational Theory

- ✓ Leaders should **adjust their leadership style** based on the situation.
- ✓ Key skills include **problem-solving, adaptability, and trust-building**.
- ✓ Leadership decisions depend on **team competence and motivation**.
- ✓ Encourages **coaching and guidance** to enhance team performance.

7. Behaviorist Theory of Leadership

- ✓ Focuses on leaders' actions and behaviors rather than traits.
- ✓ Suggests that leadership skills can be learned and developed.
- ✓ Emphasizes training and practice in leadership development.
- ✓ Recognizes that anyone can become a leader with the right behavior.

8. Behavioral Theory of Leadership

- ✓ Categorizes leadership into task-oriented and people-oriented styles.
- ✓ Task-oriented leaders focus on efficiency, structure, and goal achievement.
- ✓ People-oriented leaders emphasize relationships, motivation, and team well-being.
- ✓ Effective leadership involves balancing both approaches based on the situation.

Module E: Organizational Ethics and Code of Conduct

1. Define ethics and organizational ethics. Discuss how ethics can be institutionalized in banks and non-bank financial institutions. 98 (9.a)

Organizational Ethics:

Ethics refers to the principles that govern the behavior of individuals, determining what is right and wrong. It involves values such as honesty, integrity, and fairness.

Organizational ethics refers to the set of moral guidelines that govern the actions and decisions within an organization. It ensures that the organization's operations align with societal values and regulations.

Institutionalizing Ethics in Banks and Non-Bank Financial Institutions:

1. **Establishing Clear Ethical Guidelines:** Banks and financial institutions can implement a code of conduct that sets clear expectations for ethical behavior.
2. **Training and Awareness Programs:** Regular ethical training sessions can help employees understand the importance of ethics and how to apply them in their roles.
3. **Leadership Example:** Ethical behavior should start from the top, with senior leadership modeling ethical decisions, thereby setting a tone for the entire organization.
4. **Whistleblower Mechanisms:** Implementing systems where employees can report unethical behavior without fear of retaliation can help identify and address issues early.
5. **Monitoring and Enforcement:** Regular audits and assessments can ensure that ethical standards are maintained and any violations are appropriately addressed.

2. What is organizational code of conduct? What factors should be considered in formulating a sound organizational code of conduct? 96(9.b)

Organizational Code of Conduct:

An organizational code of conduct is a policy document that outlines the principles and standards of behavior that employees and third parties must follow within the organization. It serves as a guideline to ensure ethical conduct and professional behavior aligned with the organization's mission, values, and legal requirements. The code of conduct is essential for fostering a culture of compliance and helps employees make ethical decisions in their daily work.

Factors to Consider in Formulating a Sound Organizational Code of Conduct:

1. **Clear Purpose and Alignment:** The code should align with the organization's mission and values, providing clear guidance on ethical behavior.
2. **Comprehensiveness:** It should cover a wide range of scenarios but not be overly detailed. It must provide enough information to guide employees in ethical decision-making.
3. **Inclusivity and Respect:** The code should promote a respectful work environment, addressing issues like discrimination, harassment, and inclusivity.
4. **Compliance with Laws and Regulations:** It must emphasize adherence to relevant laws, regulations, and industry standards to avoid legal issues.
5. **Reporting Mechanisms:** Clear procedures for reporting violations and conflicts of interest should be outlined, ensuring anonymity and protection against retaliation.

3. Discuss 05(five) important roles of organizational ethics in the context of a bank. 98 (9.c)

Five Important Roles of Organizational Ethics in the Context of a Bank:

1. **Building Trust and Reputation:** Organizational ethics ensure that banks operate transparently and with integrity, fostering trust with customers, investors, and regulators. This trust is crucial for long-term relationships and maintaining a positive public image.
2. **Compliance with Regulations:** Ethical guidelines help banks comply with laws and regulations, such as anti-money laundering (AML) and combating the financing of terrorism (CFT). Ensuring compliance minimizes legal risks and prevents financial penalties.
3. **Enhancing Employee Behavior:** Organizational ethics guide employees' conduct by establishing clear standards for professionalism, respect, and fairness. This promotes a positive work environment and reduces instances of misconduct or unethical behavior.
4. **Protecting Customer Interests:** Ethical banking practices focus on safeguarding customers' financial information and privacy, ensuring that products and services are offered fairly and without exploiting customers, thus promoting customer loyalty.
5. **Reducing Financial and Operational Risks:** Adhering to ethical principles helps mitigate risks related to fraud, corruption, and unethical business practices. By embedding ethics into daily operations, banks can avoid costly scandals and operational setbacks.

4. Discuss code of conduct in the context of banking sector in Bangladesh. 97(9.c)

Code of Conduct in the Context of Banking Sector in Bangladesh:

1. **Ensuring Professionalism and Integrity:** In Bangladesh, the Code of Conduct in the banking sector ensures that employees maintain high levels of professionalism, honesty, and integrity while dealing with customers' financial matters. It emphasizes transparency and ethical behavior in all transactions.
2. **Client Confidentiality and Trust:** The code mandates strict adherence to maintaining customer confidentiality. Banks must safeguard sensitive information about customers, building trust and ensuring privacy in accordance with local regulations and global standards.
3. **Compliance with Regulations:** Bangladesh's banking sector requires banks to comply with national regulations such as anti-money laundering (AML) and combating the financing of terrorism (CFT). The code outlines employees' responsibilities to follow these legal frameworks and avoid actions that may violate laws.
4. **Fighting Corruption and Fraud:** The Code of Conduct encourages employees to report any suspicious activities, including corruption, fraud, and money laundering. It provides a framework to promote ethical decision-making and reduce risks of financial crimes.
5. **Promoting Equal Treatment and Non-Discrimination:** Banks in Bangladesh are expected to adopt a zero-tolerance policy towards discrimination, ensuring equal treatment for all clients, regardless of their gender, race, religion, or socioeconomic status. The code highlights the importance of treating all stakeholders with respect and dignity.

5. What is organizational ethics? Discuss the important characteristics of organizational ethics. 97(9.a)

Organizational Ethics:

Organizational Ethics refers to the principles, values, and standards that guide the behavior of individuals within an organization. It is the framework within which employees and management are expected to operate, ensuring that their actions align with both ethical values and the organization's goals. It fosters a culture of integrity, accountability, and respect, which is critical to the organization's long-term success and reputation.

Important Characteristics of Organizational Ethics:

1. **Integrity:** Organizations with strong ethics emphasize honesty and transparency in decision-making and interactions. Employees are expected to uphold ethical standards even when it may not be convenient or immediately profitable.
2. **Accountability:** Organizations ensure that individuals are held responsible for their actions. There is a system in place to evaluate and address unethical behavior, ensuring that all members are accountable for maintaining ethical standards.
3. **Fairness:** Ethical organizations focus on fairness in their dealings, ensuring that all employees and stakeholders are treated with equity and respect. Decisions, promotions, and compensations should be based on merit, not bias.
4. **Respect for Others:** Organizational ethics require respect for individuals' rights, dignity, and privacy. Ethical behavior includes creating an inclusive environment that encourages diversity and fosters mutual respect among all employees.
5. **Compliance with Laws and Regulations:** Ethical organizations ensure that their activities are consistent with all relevant laws and regulations. This includes adhering to both the letter and spirit of the law, such as regulations around environmental protection, labor laws, and corporate governance.

These characteristics help build a foundation for trust and long-term success within any organization, enabling a positive work culture and protecting the organization's reputation.

6. "A strong internal control mechanism helps to prevent unethical behavior within the organization."-Explain. 99(9.b)

"A strong internal control mechanism helps to prevent unethical behavior within the organization."

A strong internal control mechanism helps prevent unethical behavior within an organization by establishing clear rules, guidelines, and procedures that govern the actions of employees and management. It ensures that there are checks and balances in place to monitor actions, detect irregularities, and enforce accountability. Here's how it works:

1. **Clear Policies and Procedures:** Internal controls define acceptable behavior and the proper course of action for employees. When policies are well-established and communicated, employees are less likely to engage in unethical conduct.
2. **Monitoring and Auditing:** Regular monitoring and audits allow for the detection of any unethical behavior. If employees know that their actions are being scrutinized, they are more likely to act ethically.

3. **Segregation of Duties:** By ensuring that no single employee has complete control over a process, internal controls reduce the chances of fraudulent or unethical behavior. This ensures that several individuals must collaborate, making it harder to conceal unethical actions.
4. **Whistleblower Mechanisms:** Effective internal controls provide channels, such as whistleblower policies, that allow employees to report unethical behavior without fear of retaliation. This encourages transparency.
5. **Accountability and Consequences:** A strong internal control system ensures that there are consequences for unethical actions. Knowing that unethical behavior will lead to penalties or dismissal acts as a deterrent.

In summary, a well-designed internal control system creates an environment where unethical behavior is difficult to hide, thus promoting ethical conduct and accountability within the organization.

7. "Ensuring transparency in organization has no alternative."- Explain. 99(9.c)

"Ensuring transparency in an organization has no alternative" – This statement emphasizes the importance of transparency in maintaining trust, accountability, and integrity within an organization. Here's the explanation:

1. **Builds Trust:** Transparency ensures that all actions, decisions, and processes are open and clear to employees, stakeholders, and clients. When an organization is transparent, it fosters trust, which is essential for smooth functioning and collaboration.
2. **Enhances Accountability:** Transparent organizations hold their employees and leaders accountable for their actions. When everyone knows that their actions are visible and subject to scrutiny, they are more likely to act responsibly and ethically.
3. **Promotes Ethical Behavior:** Transparency in communication, financial dealings, and decision-making reduces the likelihood of unethical behavior. Employees are more likely to follow ethical standards if they know that their actions are being observed and reviewed.
4. **Prevents Corruption and Mismanagement:** Transparency acts as a safeguard against corruption, fraud, and mismanagement. When operations and financial transactions are open to scrutiny, it becomes more difficult for unethical practices to thrive.
5. **Improves Decision-Making:** Transparent organizations encourage open discussions and sharing of information. This leads to better-informed decisions, as all relevant data and viewpoints are available for consideration, ultimately benefiting the organization as a whole.

Short Notes:

(1) Organizational Structure

Organizational structure defines the hierarchy, roles, and responsibilities within a company. It determines how tasks are allocated, coordinated, and supervised. Common types include functional, divisional, matrix, and flat structures. A well-defined structure improves efficiency and communication. It also influences decision-making processes and overall performance.

(2) Organizational Culture

Organizational culture refers to shared values, beliefs, and behaviors within a company. It shapes employee interactions, work environment, and decision-making. A strong culture fosters motivation, teamwork, and ethical behavior. It can be classified as hierarchical, clan, adhocracy, or market culture. A positive culture enhances productivity and employee satisfaction.

(3) Micro Environment

The micro environment consists of factors directly affecting a business, such as customers, suppliers, competitors, employees, and intermediaries. These elements influence daily operations and decision-making. A strong relationship with stakeholders helps a company succeed. Businesses must adapt to changing customer demands and market conditions. Competitive analysis is crucial for strategic planning.

(4) Macro Environment

The macro environment includes broader external factors like economic, political, legal, social, and technological influences. These factors affect industries and businesses on a large scale. Economic conditions like inflation and interest rates impact business operations. Government policies and technological advancements shape market trends. Organizations must monitor macro factors for long-term planning.

(5) Task/Industry Environment

The task or industry environment consists of external factors directly affecting an organization's industry. These include competitors, customers, suppliers, regulations, and market trends. Understanding industry dynamics helps businesses develop competitive strategies. A changing industry environment requires adaptability and innovation. Companies must assess risks and opportunities to maintain stability.

(6) Flatarchy Structure

Flatarchy combines elements of hierarchical and flat structures, allowing flexibility and collaboration. It reduces levels of management, promoting quicker decision-making. Employees have more autonomy, leading to innovation and engagement. It is suitable for dynamic and creative industries. However, it may cause role confusion if not properly managed.

(7) Hierarchical Structure

A hierarchical structure features multiple levels of authority and clear chains of command. It is common in large organizations and government institutions. Employees follow a structured path for decision-making and reporting. While it ensures control and efficiency, it can slow down innovation. Strict hierarchy may also limit communication between different levels.

(8) Organic Structure

An organic structure is flexible, decentralized, and promotes open communication. It adapts to changes quickly, making it suitable for dynamic industries. Employees have broad roles, encouraging creativity and teamwork. Decision-making is often collaborative rather than top-down. It contrasts with mechanistic structures, which are rigid and highly controlled.

(9) Job Enlargement

Job enlargement increases the scope of an employee's responsibilities by adding similar tasks. It helps reduce monotony and increases engagement. Employees gain a broader skill set, improving productivity. However, without proper incentives, increased workload may cause dissatisfaction. It differs from job enrichment, which adds more meaningful tasks.

(10) Group Dynamics

Group dynamics refer to the interactions and behaviors within a team. Effective group dynamics improve collaboration and productivity. Factors like leadership, communication, and team roles influence performance. Poor dynamics can lead to conflicts and inefficiency. Understanding group behavior helps in team management and conflict resolution.

(11) Worker Protection

Worker protection includes laws and policies ensuring employee rights and safety. It covers fair wages, working hours, health benefits, and workplace safety. Governments enforce labor laws to prevent exploitation. Safe and ethical work environments improve employee morale. Strong worker protection reduces legal risks for employers.

(12) On-the-Job Training

On-the-job training (OJT) involves learning while performing work tasks. Employees gain practical skills through direct experience. It is cost-effective and improves productivity quickly. Mentorship and job rotation are common OJT methods. However, without proper guidance, OJT may lead to mistakes.

(13) Off-the-Job Training

Off-the-job training takes place outside the workplace through workshops, seminars, and courses. It allows employees to focus on learning without work pressure. Theoretical knowledge and new skills are developed. It is useful for leadership and professional development. However, it may be costly and time-consuming.

(14) Management by Objectives (MBO)

MBO is a goal-setting approach where managers and employees set objectives together. It ensures alignment between individual and organizational goals. Performance is evaluated based on achieving these objectives. MBO improves motivation and accountability. However, rigid goal-setting may limit adaptability.

(15) Behaviorally Anchored Rating Scale (BARS)

BARS is a performance appraisal method using specific behavioral examples. It reduces subjectivity in evaluations. Employees are rated based on observable behaviors linked to performance levels. This method provides clear performance expectations. However, developing BARS requires time and effort.

(16) Psychological Appraisals

Psychological appraisals assess an employee's potential and personality traits. They focus on skills like leadership, teamwork, and decision-making. Techniques include psychological tests and expert evaluations. These appraisals help in succession planning and career development. However, they may be subjective and require professional expertise.

(17) Confidential Report

A confidential report is a private evaluation of an employee's performance, behavior, and potential. It is usually prepared by supervisors for promotions or disciplinary actions. Unlike open appraisals, employees do not access these reports. It ensures honest feedback but may lack transparency. Bias in reporting can affect fairness.

(18) Graphic Rating Scale

The graphic rating scale is a performance appraisal tool using a numerical or descriptive scale. Employees are rated based on different performance criteria. It is simple and easy to use but may lack detailed feedback. Bias and subjectivity can affect accuracy. Proper training for evaluators improves effectiveness.

(19) Work Ethics

Work ethics refer to the moral principles guiding employee behavior. It includes honesty, responsibility, discipline, and teamwork. Strong work ethics enhance productivity and trust in an organization. Ethical behavior prevents misconduct and legal issues. Companies promote work ethics through policies and training.

(20) Great Man Theory of Leadership

The Great Man Theory suggests that leaders are born with inherent traits. It emphasizes qualities like intelligence, confidence, and charisma. Historically, it was used to justify leadership in monarchy and military contexts. Modern leadership theories challenge this by highlighting learned skills. The theory lacks empirical support but influenced leadership studies.

(21) Contingency Theory of Leadership

Contingency theory states that leadership effectiveness depends on the situation. No single leadership style works for all scenarios. Factors like team dynamics, task complexity, and external environment influence leadership success. Leaders must adapt their approach based on circumstances. This theory helps in flexible and situational leadership development.